



MEMORANDUM

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|--|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : TRADING PARTICIPANTS AND OTHER MARKET PARTICIPANTS

SUBJECT : PROPOSED RULES ON NEGOTIATED TRADES

DATE : July 1, 2026

The Philippine Stock Exchange, Inc. is inviting all interested parties to submit their comments on the Exchange's proposal to allow Negotiated Trades and amend the relevant sections of the Revised Trading Rules, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until July 7, 2026.

(Original signed)
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President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED RULES ON NEGOTIATED TRADES

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the proposal of the Exchange to allow Negotiated Trades as a variant of its existing block sale framework.

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until July 7, 2026.

II. Proposal and Rationale

The Exchange proposes to allow Negotiated Trades to resolve an existing operational gap in the execution of pre-arranged transactions.

Currently, the Exchange has a block sale facility for the execution of large pre-arranged transactions that meet the minimum transaction value and allowable execution prices prescribed by the Exchange. For regular block sales, the minimum transaction value is PhP20 million and the execution price should not be more than five percent (5%) above or below the Reference Price (*i.e. Previous Closing Price or Last Adjusted Closing Price in the event of corporate actions*). Special block sales, on the other hand, must have a transaction value of at least PhP50 million.

A pre-arranged transaction that does not meet the minimum requirements for block sale cannot be executed in the Block Sale Market but may be entered as a cross transaction in the regular market, provided the execution price is within the best bid and offer or “BBO”.

However, there is presently no execution facility for trades that do not meet the minimum value thresholds required for block sales, but likewise fail to satisfy the price constraints for cross transactions because the price is outside the BBO.

To accommodate pre-arranged transactions that fall outside the existing execution frameworks, the Exchange proposes to allow Negotiated Trades as a variant of its block sale framework. This will allow trading participants and investors to execute and report smaller, pre-arranged transactions on commercial terms agreed upon by the parties, enhancing transparency and price discovery.

III. Proposed Amendments to the Revised Trading Rules

Execution of Negotiated Trades shall be governed by the following parameters:

1. There shall be no volume and value restriction.
2. Execution window will be 15 minutes after Run-Off/Trading-at-Last.
3. Execution price shall be within +/- 5% from the full day VWAP.

4. Only 1-firm trades shall be allowed.

To implement the foregoing and reflect the new execution framework in the Revised Trading Rules, the Exchange proposes to insert new sections in the Revised Trading Rules and its Implementing Guidelines on negotiated trades.

The full text of the proposed amendments are set out in Annex "A".

REVISED TRADING RULES

ARTICLE I DEFINITIONS AND CONSTRUCTIONS

SECTION 1. Definition of Terms

As used in these Revised Trading Rules (the “Rules”), and unless the context otherwise requires:

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“Closing Period” shall mean the period when the Closing Price for all Securities is calculated.

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“Opening Period” shall mean the period when the Opening Price for all Securities is calculated.

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“Negotiated Trade” shall mean a pre-arranged transaction executed at the agreed price in accordance with the Implementing Guidelines of these Rules.

ARTICLE II TRADING DAY SCHEDULE

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SECTION 2. Trading Hours

The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule:

For half-day trading:

9:00 a.m.	-	Pre-Open
9:15 a.m.	-	Pre-Open No Cancel
9:30 a.m.	-	Market Open
11:57 a.m.	-	Pre-Close
11:59 a.m.	-	Pre-Close No Cancel
12:00 nn	-	Run-off/Trading-at-Last
12:10 p.m.	-	Closing VWAP <u>Negotiated Trades</u> Session
12:25 p.m.	-	Market Close

For whole day trading:

9:00 a.m.	-	Pre-Open
9:15 a.m.	-	Pre-Open No Cancel
9:30 a.m.	-	Market Open
12:00 nn	-	Market Recess
1:00 p.m.	-	Market Resume
2:45 p.m.	-	Pre-Close
2:48 p.m.	-	Pre-Close No Cancel
2:50 p.m.	-	Run-off/Trading-at-Last
3:00 p.m.	-	Closing VWAP <u>Negotiated Trades</u> Session
3:15 p.m.	-	Market Close

ARTICLE VII

CROSS TRANSACTIONS, BLOCK SALES, AND NEGOTIATED TRADES

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SECTION 4. Negotiated Trades

- a. A Negotiated Trade shall be executed by a TP for different clients or its proprietary account through the Negotiated Trade facility of the Exchange.
- b. Negotiated Trades shall comply with the allowable execution prices in accordance with the Implementing Guidelines of these Rules.
- c. Unless otherwise provided herein, other provisions of the PSE Trading Rules shall apply to Negotiated Trades in the same manner as they apply to regular trades.
- d. Negotiated Trade is not allowed for a currently suspended or halted Security.
- e. It shall only be executed during the Negotiated Trades session set by the Exchange.
- f. Only authorized Salesmen/Traders of the TP shall be allowed to execute Negotiated Trades.
- g. It shall be settled based on SCCP Rules.

IMPLEMENTING GUIDELINES

II TRADING HOURS

Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours:

For half-day trading

9:00 a.m.	PRE-OPEN No matching of Orders can occur, but Trading Participants (TPs) can enter, modify, or cancel Orders.
9:15 a.m.	PRE-OPEN NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
9:30 a.m.	OPENING → CONTINUOUS TRADING Opening Price for all Securities is calculated. Orders are matched at the Opening Price. The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed. After the transition from Opening to Continuous Trading, Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
11:57 a.m.	PRE-CLOSE This is the same as Pre-Open. TPs can enter, modify or cancel Orders.
11:59 a.m.	PRE-CLOSE NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
12:00 nn	RUN-OFF/TRADING-AT-LAST TPs can enter Orders at the Closing Price only.
12:10 p.m.	<u>CLOSING VWAP NEGOTIATED TRADES</u> SESSION TPs are <u>only</u> allowed to execute Negotiated <u>Trades</u> transactions but only at VWAP.

12:25 p.m.

MARKET CLOSE

End of trading. TPs cannot enter, modify or cancel Orders.

For whole day trading

9:00 a.m.

PRE-OPEN

No matching of Orders can occur, but TPs can enter, modify, or cancel Orders.

9:15 a.m.

PRE-OPEN NO CANCEL

TPs are allowed to enter Orders but cannot cancel or modify Orders.

9:30 a.m.

OPENING → CONTINUOUS TRADING

Opening Price for all Securities is calculated. Orders are matched at the Opening Price. The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.

After the transition from Opening to Continuous Trading, Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.

12:00 nn

MARKET RECESS

Trading for all Securities is not allowed. TPs cannot enter, modify or cancel Orders.

1:00 p.m.

MARKET RESUME/CONTINUOUS TRADING

Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.

2:45 p.m.

PRE-CLOSE

This is the same as Pre-Open. TPs can enter, modify or cancel Orders.

2:48 p.m.

PRE-CLOSE NO-CANCEL

TPs are allowed to enter Orders but cannot cancel or modify Orders.

2:50 p.m.

RUN-OFF/TRADING-AT-LAST

TPs can enter Orders at the Closing Price only.

3:00 p.m.

~~CLOSING VWAP~~ NEGOTIATED TRADES SESSION

TPs are only allowed to execute Negotiated Trades ~~transactions~~
~~but only at VWAP.~~

3:15 p.m.

MARKET CLOSE

End of trading. TPs cannot enter, modify or cancel Orders.

XXVI NEGOTIATED TRADES

1. Negotiated Trades can only be executed through the trading facilities of the Exchange in accordance with the following parameters:

- a. The execution price shall not be more than five percent (5%) above or below the volume-weighted average price (VWAP) for the Security on a given Trading Day.

Except Block Sales and intentional Cross Transactions as defined in Article VII, Section 1 of these Rules, the VWAP calculation shall include all trades from Opening Period to Closing Period.

- b. In case there is no trade for the Security on a given Trading Day, the execution price shall not be more than five percent (5%) above or below the Previous Closing Price or Last Adjusted Closing Price.
 - c. The execution price shall not exceed four (4) decimal places.
2. Negotiated Trade shall only be executed during the Negotiated Trades session or within fifteen (15) minutes after the Run-off/Trading-at-Last Period.

If there is a delay in the computation of VWAP of a Security, the Exchange shall suspend the Negotiated Trades Session and immediately make an announcement to the TPs. If the issue is resolved with at least five (5) minutes remaining in the Negotiated Trades Session, the Exchange will resume the Negotiated Trades Session. However, if the issue persists and there is less than five (5) minutes remaining in the Negotiated Trades Session, the Exchange shall cancel execution of Negotiated Trades for the day.

3. Negotiated Trades may only be executed by a single TP.
4. Negotiated Trades shall be included in the End-of-Day reports.